Interest Rate Risk Warning when your Portfolio is Leveraged

HSBC Private Banking (C.I.) a division of HSBC Bank plc, Guernsey Branch

PUBLIC

HSBC Private Banking

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Adding leverage to any portfolio increases the potential risks you may face. It is important that you understand these risks and how they might impact on you. Should you feel uncomfortable with the risk of Interest rate movement then please consider carefully if it is appropriate for you.

Should you use debt to leverage the amount you invest in a product, then you may be at risk from rises in Interest Rates. An increase in debit interest rates may result in the return you expect to receive from your investments being less than the amount you are paying for the debt. The higher you leverage a product the greater your exposure to Interest Rate Risk.

Both of the below illustrations assume an initial investment of £1,000,000. The 'cost of funds' increases in stages to show the Net effect on the return you make from the investment. Various costs and margins have been assumed for the sake of this illustration. We can provide you with a more accurate illustration of your circumstances during our discussions.

This illustration shows x5 leverage

Loan Amount	4,000,000.00	4,000,000.00	4,000,000.00	4,000,000.00	4,000,000.00	4,000,000.00	4,000,000.00	4,000,000.00
Loan Interest margin	1.25%	1.25%	1.25%	1.25%	1.25%	1.25%	1.25%	1.25%
Cost of Funds	**0.25%**	**0.50%**	**1.00%**	**1.50%**	**2.00%**	**2.50%**	**3.00%**	**3.50%**
Total Debit Interest	1.50%	1.75%	2.25%	2.75%	3.25%	3.75%	4.25%	4.75%
Amount of debit interest	60,000.00	70,000.00	90,000.00	110,000.00	130,000.00	150,000.00	170,000.00	190,000.00
Total Investment in Bond Portfolio	5,000,000.00	5,000,000.00	5,000,000.00	5,000,000.00	5,000,000.00	5,000,000.00	5,000,000.00	5,000,000.00
	2.67%	2.67%	2.67%	2.67%	2.67%	2.67%	2.67%	2.67%
Expected Net Return	133,333.33	133,333.33	133,333.33	133,333.33	133,333.33	133,333.33	133,333.33	133,333.33
Net Return	**73,333.33**	**63,333.33**	**43,333.33**	**23,333.33**	**3,333.33**	**-16,666.67**	**-36,666.67**	**-56,666.67**

This illustration shows x10 leverage

Loan Amount	9,000,000.00	9,000,000.00	9,000,000.00	9,000,000.00	9,000,000.00	9,000,000.00	9,000,000.00	9,000,000.00
Loan Interest margin	1.25%	1.25%	1.25%	1.25%	1.25%	1.25%	1.25%	1.25%
Cost of Funds	**0.25%**	**0.50%**	**1.00%**	**1.50%**	**2.00%**	**2.50%**	**3.00%**	**3.50%**
Total Debit Interest	1.50%	1.75%	2.25%	2.75%	3.25%	3.75%	4.25%	4.75%
Amount of debit interest	135,000.00	157,500.00	202,500.00	247,500.00	292,500.00	337,500.00	382,500.00	427,500.00
Total Investment in Bond Portfolio	10,000,000.00	10,000,000.00	10,000,000.00	10,000,000.00	10,000,000.00	10,000,000.00	10,000,000.00	10,000,000.00
Expected Net Return	2.67%	2.67%	2.67%	2.67%	2.67%	2.67%	2.67%	2.67%
Amount of Net Return	266,666.67	266,666.67	266,666.67	266,666.67	266,666.67	266,666.67	266,666.67	266,666.67
Net Return	**131,666.67**	**109,166.67**	**64,166.67**	**19,166.67**	**-25,833.33**	**-70,833.33**	**-115,833.33**	**-160,833.33**

Note : These illustrations assume there is no change in Loan Amount, Debit Interest Margin, Total investment in Bond portfolio and Expected net return.

Additional Important Considerations

- Any assets used as collateral for a loan will become subject to interest rate risk when previously they may not have been otherwise exposed.
- You will be liable to pay interest on any loan balance at the rate set out in your Facility Letter regardless of whether or not the income from any asset or investment you may have earmarked for the purpose of covering the interest is sufficient.
- In addition you will be liable to repay or settle your liabilities in respect of all drawings under your loan facility even if the value of any asset or investment you may have earmarked for the purpose of repaying or settling those liabilities is insufficient. In both these circumstances you will be liable to make up any shortfall from your other resources.
- Both the level of income (if any) from any asset or investment and the value of any asset or investment may fall. Furthermore, the amount of interest payable on your loans may increase. In a worst case scenario, an asset or investment you have earmarked for funding your liabilities under a loan agreement may become worthless, leaving you liable to fund all interest on any loan and also repay any loan balance from your other sources.
- Where minimum collateral values apply to a facility agreement you may be required to provide additional collateral or even repay a loan if the collateral value has decreased beyond specified levels.

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- Our advice is based upon our understanding of your personal and financial circumstances. Where there is any additional information with regard to your personal and financial circumstances which has not been disclosed, with specific consideration being given to the provision of liquid assets and liabilities, please make us aware as this could materially affect the suitability of our investment recommendations.
- Please remember that the value of investments and the income from them can go down as well as up; you may not get back the amount you invested. Further, the effect of inflation may reduce the spending power of your investment in the future. Past performance is not a guide to future performance. In addition, where overseas securities are held or when an investment is denominated in a currency other than your local or reporting currency, changes in exchange rates may have a negative effect on your investment. There is no guarantee of positive trading performance. It may not be possible to immediately redeem units in underlying funds.
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